Investment strategy assignment

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1. Numeric's strategy & rationale. Numeric grades ~2,400 stocks on two computer-driven scores (momentum and value), buys winners and shorts losers. The logic: markets are run by emotional humans, and a disciplined machine profits from their mistakes. Investors pay for the *extra* return (alpha) above what a cheap index fund gives -plus Numeric's honesty in capping size to protect performance ("be good, not big").

2. Long-only vs. long/short. Long-only means you can only buy; your one way to profit is picking winners. Long/short lets you also bet against bad stocks, so skill pays off twice ("double alpha") and market swings can cancel out. They're not equally risky -long/short cuts market risk but adds sharper "being wrong" risk, and shorting has unlimited downside.

3. Momentum vs. value. Momentum rides stocks with good earnings news that analysts are slow to price in (get in early, ride the wave). Value buys stocks trading below their fair worth and waits for prices to snap back. Numeric runs both because they tend to zig and zag at opposite times, smoothing the ride.

4. April 29 trades. All five trades (PepsiCo, Stratus, Micro Warehouse, PeopleSoft, Compuware) were triggered by earnings news, decided in minutes, and run through the models. Each shows discipline -cover shorts when scores flip, wait for dips before buying, trim risk before uncertain events. That fast, model-driven, news-reactive-yet-human-checked pattern *is* Numeric.

5. vs. traditional managers. Traditional managers deeply research a few companies and hold for years; Numeric knows a little about thousands and profits from tiny edges across many. They're faster (react in minutes), they short, and -unusually -they *close the door* on new money instead of chasing every fee.

6. Transaction costs & closing products. Numeric trades enormously, and those costs nearly equal their outperformance, so they track them obsessively (spread, market impact, opportunity cost). The key finding: bigger orders and smaller/cheaper stocks cost far more. Closing products was clearly justified -growth quietly eats returns, so protecting existing investors beat collecting more fees.

7. Real skill or paid for risk? It's honestly *both*. Some is genuine skill -correcting real mistakes. But much is reward for services and risks: their value trades get paid to supply liquidity when others panic (note the *negative* trading costs), and momentum earns extra for bearing occasional crash risk. So appreciate the talent, but expect rough patches -part of your return is rent for taking risk.